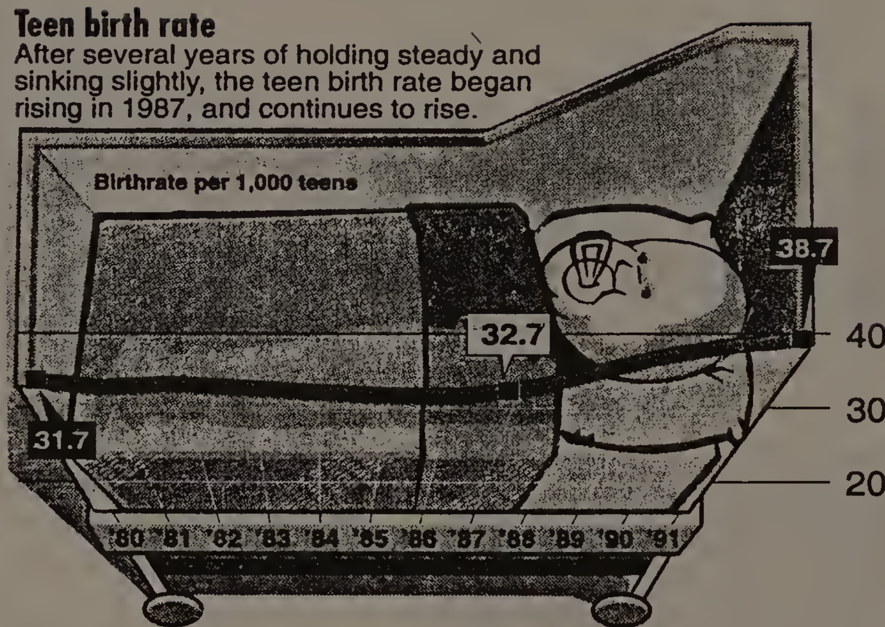

Figure 13-3f

began happening then, it insightfully concludes that "perhaps the only foreshadowing that 1987 held some bad seed occurred October 19, when the stock market crashed."

Thus, 1987 was the turning point from a broad upward trend in social mood, which had been characterized as "the Ebullient Eighties," to a fractured trend. This fractured trend is a *transition* phase that will lead to a monolithic downward trend in social mood. Though the consensus among economists was, and remains, that the stock market crash of October 1987 was meaningless, it was in fact a vitally important event: a high-volume, high-volatility announcement of the psychological kickoff for the long process of slowing upside momentum in some social measures and outright contraction in others.

Social indexes are not the only ones that changed in 1987. A shift in the trend of economic expansion has been telegraphed subtly yet relentlessly both by markets and, with the usual time lag, the economy. The stock market crash led to a Northeastern real estate bust beginning in 1988, which rapidly sent New England diving headlong into a deep recession. In 1989-1990, the manic rise in California property values reversed to a downward trend, junk bonds crashed, and much of the savings and loan industry went bankrupt. In 1990, collector coins, art prices and the Japanese Nikkei stock index began falling. In 1990-1991, a recession occurred that, despite mild aggregate figures, sported many of the worst statistics